share of Jammu and Kashmir as the erstwhile state had been converted into two union territories in the meantime. The Commission expressed the hope that there would be no further decline in the divisible pool as a proportion of gross revenue receipts.

Fifteenth Finance Commission Recommends Several Grants, but Many Not Accepted by the Centre

The grant package of the Fifteenth Finance Commission is more comprehensive than that of the Fourteenth Finance Commission. The Commission recommended the following:

First, revenue deficit grants of Rs 2,94,514 crore to seventeen states as it judged these states to remain short of the revenues required to meet their justified expenditures even after factoring in devolution. The Commission did not accept the suggestion of the Central government of considering to discontinue the system of revenue deficit grants.

Second, a total of Rs 4,36,361 crore of local bodies' grant delinking the grants package from performance-based grants. Performance-based grants were reduced to only Rs 8000 crore for incubation of new cities and Rs 450 crore to promote the concept of shared municipal services. While grants of Rs 2,36,805 crore were earmarked for rural local bodies and Rs 1,21,055 crore for urban local bodies, the Commission recommended health grants of Rs 70,051 crore to be spent through local governments.

Third, grants of Rs 1,22,601 crore for disaster management.

Fourth, bringing back the concept of sector-specific grants, which also included recommendations on performance-based grants, which the terms of reference required the Commission to consider extensively. In all, sector-specific grants of Rs 1,29,987 crore were recommended, which included three performance-based grants: Rs 4800 crore for incentivizing the states to enhance educational outcomes, Rs 6143 crore for online learning and development of professional courses (medical and engineering) in regional